

1 ENGROSSED HOUSE
2 BILL NO. 1268

By: Hays of the House

3 and

4 Weaver of the Senate

5
6
7 [retirement - Oklahoma Pension Legislation Actuarial
8 Analysis Act - terms - Oklahoma Public Employees
9 Deferred Option Plan - creditable service -
10 requirements and specifications of plan - cessation
11 of employee contributions - employer contributions
12 - cost of living adjustments - payment - limit for
13 commencement of distribution - codification -
14 effective dates]
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18 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

19 SECTION 1. AMENDATORY 62 O.S. 2021, Section 3103, as
20 last amended by Section 2, Chapter 361, O.S.L. 2024 (62 O.S. Supp.
21 2025, Section 3103), is amended to read as follows:

22 Section 3103. As used in the Oklahoma Pension Legislation
23 Actuarial Analysis Act:
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1 1. "Amendment" means any amendment, including a substitute
2 bill, made to a retirement bill by any committee of the House of
3 Representatives or Senate, any conference committee of the House or
4 Senate or by the House or Senate;

5 2. "RB number" means that number preceded by the letters "RB"
6 assigned to a retirement bill by the respective staffs of the
7 Oklahoma State Senate and the Oklahoma House of Representatives when
8 the respective staff office prepares a retirement bill for a member
9 of the Legislature;

10 3. "Legislative Actuary" means the firm or entity that enters
11 into a contract with the Legislative Service Bureau pursuant to
12 Section 452.15 of Title 74 of the Oklahoma Statutes to provide the
13 actuarial services and other duties provided for in the Oklahoma
14 Pension Legislation Actuarial Analysis Act;

15 4. "Nonfiscal amendment" means an amendment to a retirement
16 bill having a fiscal impact, which amendment does not change any
17 factor of an actuarial investigation specified in subsection A of
18 Section 3109 of this title;

19 5. "Nonfiscal retirement bill" means a retirement bill:

- 20 a. which does not affect the cost or funding factors of a
21 retirement system,
- 22 b. which affects such factors only in a manner which does
23 not:

- (1) grant a benefit increase under the retirement system affected by the bill,
 - (2) create an actuarial accrued liability for or increase the actuarial accrued liability of the retirement system affected by the bill, or
 - (3) increase the normal cost of the retirement system affected by the bill,
- c. which authorizes the purchase by an active member of the retirement system, at the actuarial cost for the purchase as computed pursuant to the statute in effect on the effective date of the measure allowing such purchase, of years of service for purposes of reaching a normal retirement date in the applicable retirement system, but which cannot be used in order to compute the number of years of service for purposes of computing the retirement benefit for the member,
- d. which provides for the computation of a service-connected disability retirement benefit for members of the Oklahoma Law Enforcement Retirement System pursuant to Section 2-305 of Title 47 of the Oklahoma Statutes if the members were unable to complete twenty (20) years of service as a result of the disability,
- e. which requires membership in the defined benefit plan authorized by Section 901 et seq. of Title 74 of the

Oklahoma Statutes for persons whose first elected or appointed service occurs on or after November 1, 2018, if such persons had any prior service in the Oklahoma Public Employees Retirement System prior to November 1, 2015,

f. which provides for a one-time increase in retirement benefits if the increase in retirement benefits is not a permanent increase in the gross annual retirement benefit payable to a member or beneficiary, occurs only once pursuant to a single statutory authorization and does not exceed:

(1) the lesser of two percent (2%) of the gross annual retirement benefit of the member or One Thousand Dollars (\$1,000.00) and requires that the benefit may only be provided if the funded ratio of the affected retirement system would not be less than sixty percent (60%) but not greater than eighty percent (80%) after the benefit increase is paid,

(2) the lesser of two percent (2%) of the gross annual retirement benefit of the member or One Thousand Two Hundred Dollars (\$1,200.00) and requires that the benefit may only be provided if the funded ratio of the affected retirement

1 system would be greater than eighty percent (80%)
2 but not greater than one hundred percent (100%)
3 after the benefit increase is paid,

4 (3) the lesser of two percent (2%) of the gross
5 annual retirement benefit of the member or One
6 Thousand Four Hundred Dollars (\$1,400.00) and
7 requires that the benefit may only be provided if
8 the funded ratio of the affected retirement
9 system would be greater than one hundred percent
10 (100%) after the benefit increase is paid, or

11 (4) the greater of two percent (2%) of the gross
12 annual retirement benefit of the volunteer
13 firefighter or One Hundred Dollars (\$100.00) for
14 persons who retired from the Oklahoma
15 Firefighters Pension and Retirement System as
16 volunteer firefighters and who did not retire
17 from the Oklahoma Firefighters Pension and
18 Retirement System as a paid firefighter.

19 As used in this subparagraph, "funded ratio" means the
20 figure derived by dividing the actuarial value of
21 assets of the applicable retirement system by the
22 actuarial accrued liability of the applicable
23 retirement system,
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- 1 g. which modifies the disability pension standard for
2 police officers who are members of the Oklahoma Police
3 Pension and Retirement System as provided by Section
4 50-115 of Title 11 of the Oklahoma Statutes,
5 h. which provides a cost-of-living benefit increase
6 pursuant to the provisions of:
7 (1) Section 49-143.7 of Title 11 of the Oklahoma
8 Statutes,
9 (2) Section 50-136.9 of Title 11 of the Oklahoma
10 Statutes,
11 (3) Section 1104K of Title 20 of the Oklahoma
12 Statutes,
13 (4) Section 2-305.12 of Title 47 of the Oklahoma
14 Statutes,
15 (5) Section 17-116.22 of Title 70 of the Oklahoma
16 Statutes,
17 (6) Section 930.11 of Title 74 of the Oklahoma
18 Statutes,
19 i. which modifies the computation of the line-of-duty
20 disability benefit pursuant to the provisions of this
21 section and Sections 50-101 and 50-115 of Title 11 of
22 the Oklahoma Statutes, ~~or~~
23 j. which authorizes membership in the Oklahoma Law
24 Enforcement Retirement System for active commissioned

1 or CLEET-certified agents of the Office of the
2 Attorney General or the Military Department of the
3 State of Oklahoma pursuant to Sections ~~3~~ 2-309.9 and ~~4~~
4 2-309.10 of ~~this act~~ Title 47 of the Oklahoma
5 Statutes, or

6 k. which authorizes certain licensed emergency personnel
7 to participate in the Oklahoma Public Employees
8 Deferred Option Plan pursuant to Section 2 of this
9 act.

10 A nonfiscal retirement bill shall include any retirement bill that
11 has as its sole purpose the appropriation or distribution or
12 redistribution of monies in some manner to a retirement system for
13 purposes of reducing the unfunded liability of such system or the
14 earmarking of a portion of the revenue from a tax to a retirement
15 system or increasing the percentage of the revenue earmarked from a
16 tax to a retirement system;

17 6. "Reduction-in-cost amendment" means an amendment to a
18 retirement bill having a fiscal impact which reduces the cost of the
19 bill as such cost is determined by the actuarial investigation for
20 the bill prepared pursuant to Section 3109 of this title;

21 7. "Retirement bill" means any bill or joint resolution
22 introduced or any bill or joint resolution amended by a member of
23 the Legislature which creates or amends any law directly affecting a
24 retirement system. A retirement bill shall not mean a bill or

1 resolution that impacts the revenue of any state tax in which a
2 portion of the revenue generated from such tax is earmarked for the
3 benefit of a retirement system;

4 8. "Retirement bill having a fiscal impact" means any
5 retirement bill creating or establishing a retirement system and any
6 other retirement bill other than a nonfiscal retirement bill; and

7 9. "Retirement system" means the Teachers' Retirement System of
8 Oklahoma, the Oklahoma Public Employees Retirement System, the
9 Uniform Retirement System for Justices and Judges, the Oklahoma
10 Firefighters Pension and Retirement System, the Oklahoma Police
11 Pension and Retirement System, the Oklahoma Law Enforcement
12 Retirement System, or a retirement system established after January
13 1, 2006.

14 SECTION 2. NEW LAW A new section of law to be codified
15 in the Oklahoma Statutes as Section 914.1 of Title 74, unless there
16 is created a duplication in numbering, reads as follows:

17 A. In lieu of terminating employment and accepting a service
18 retirement pension pursuant to Section 914 of this title, licensed
19 emergency medical personnel, as defined pursuant to Section 1-2503
20 of Title 63 of the Oklahoma Statutes, holding a license issued by
21 the State Department of Health pursuant to Section 1-2505 of Title
22 63 of the Oklahoma Statutes, including emergency medical responders,
23 emergency medical technicians, intermediate emergency medical
24 technicians, advanced emergency medical technicians, and paramedics

1 employed by any participating employer of the Oklahoma Public
2 Employees Retirement System as a licensed emergency medical
3 personnel and deputy sheriffs and county jailers employed by any
4 county that is a participating employer of the Oklahoma Public
5 Employees Retirement System who has not less than twenty (20) years
6 of creditable service and who is eligible to receive a service
7 retirement pension may make an irrevocable election to participate
8 in the Oklahoma Public Employees Deferred Option Plan and defer the
9 receipts of benefits in accordance with the provisions of this
10 section.

11 B. For purposes of this section, creditable service shall
12 include service credit reciprocally recognized pursuant to Section
13 901 et seq. of this title but for eligibility purposes only.

14 C. The duration of participation in the Oklahoma Public
15 Employees Deferred Option Plan for a member shall not exceed five
16 (5) years. Participation in the Oklahoma Public Employees Deferred
17 Option Plan must begin the first day of a month and end on the last
18 day of a month. At the conclusion of a member's participation in
19 the Oklahoma Public Employees Deferred Option Plan, the member shall
20 terminate employment with all participating employers or
21 participating municipalities, and shall start receiving the member's
22 accrued monthly retirement benefit from the System. Such a member
23 may receive in-service distributions of such member's accrued
24 monthly retirement benefit from the System if such member is

1 reemployed by a participating employer only if such reemployment is
2 in a position not covered under the System.

3 D. When a member begins participation in the Oklahoma Public
4 Employees Deferred Option Plan, the contribution of the employee
5 shall cease. The employer contributions shall continue to be paid
6 in accordance with Section 920 or 920A of this title. Municipal
7 contributions for employees who elect the Oklahoma Public Employees
8 Deferred Option Plan shall be credited equally to the Oklahoma
9 Public Employees Retirement System and to the Oklahoma Public
10 Employees Deferred Option Plan. The monthly retirement benefits
11 that would have been payable had the member elected to cease
12 employment and receive a service retirement shall be paid into the
13 Oklahoma Public Employees Deferred Option Plan account.

14 E. A member who participates in this plan shall be eligible to
15 receive cost of living increases.

16 F. A participant in the Oklahoma Public Employees Deferred
17 Option Plan shall receive, at the option of the participant:

18 1. A lump sum payment from the account equal to the option
19 account balance of the participant, payable to the participant;

20 2. A lump sum payment from the account equal to the option
21 account balance of the participant, payable to the annuity provider
22 which shall be selected by the participant as a result of the
23 research and investigation of the participant; or
24

1 3. Any other method of payment if approved by the Oklahoma
2 Public Employees Retirement System Board of Trustees.

3 Notwithstanding any other provision contained herein to the
4 contrary, commencement of distributions under the Oklahoma Public
5 Employees Deferred Option Plan shall be no later than the actual
6 retirement date of the member.

7 G. If the participant dies during the period of participation
8 in the Oklahoma Public Employees Deferred Option Plan, a lump sum
9 payment equal to the account balance of the participant shall be
10 paid to the recipients, which may include a trust, properly
11 designated in writing by the participant or, if none, to the
12 surviving spouse who was married to the participant for the thirty
13 (30) continuous months immediately preceding the death of the
14 participant; provided, a surviving spouse of a participant who died
15 in, and as a consequence of, the performance of the participant's
16 duty for a participating municipality shall not be subject to the
17 thirty-month marriage requirement for survivor benefits or, if no
18 surviving spouse, to the estate of the participant.

19 SECTION 3. Section 1 of this act shall become effective October
20 1, 2026.

21 SECTION 4. Section 2 of this act shall become effective
22 November 1, 2026.
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1 Passed the House of Representatives the 24th day of March, 2026.

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3 _____
4 Presiding Officer of the House
5 of Representatives

6 Passed the Senate the _____ day of _____, 2026.

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8 _____
9 Presiding Officer of the Senate